A SHAKY NPS?

- **How will withdrawal of states from NPS** affect the fund's performance? Insiders in NPS trust say they are worried as it will affect growth. As of December 31, 2022, there were 2.35 million subscribers from the central government pool with Assets Under Management (AUM) of Rs 2.47 lakh crore and 5.98 million subscribers from the state governments with AUM of Rs 4.27 lakh crore.

- **The number of new state subscribers declined** by 11 per cent to a four-year low during April-November 2022, with only 285,226 joining compared to 321,255 the year before. The number of new central government subscribers also declined in the April-November period by around 15 per cent to 70,638, from 83,614 during the same period in 2021, largely due to lower recruitment.

OPS VS NPS: KEY DIFFERENCES

OLD PENSION SCHEME

- Under OPS, retired government employees receive 50 per cent of their last drawn salary as monthly pension, which goes up with hikes in dearness allowance and salaries as per Pay Commission recommendations
- On their death, the spouse gets 30 per cent of the amount as pension. After retirement, an employee gets up to Rs 14 lakh as annuity
- Under OPS, employees do not have to contribute from their salaries to the pension that they will draw after retirement

NEW PENSION SCHEME

- NPS is a market-linked contribution-based pension scheme that facilitates the accumulation of a pension corpus during the working life, taking contributions from both employee and employer
- Under NPS, employees contribute 10 per cent from their salary every month, with the government pitching in with up to 14 per cent. On superannuation, the employee gets 40 per cent of the amount as annuity, and 60 per cent of this accumulated corpus as a lump sum in a one-time payment
- Employee unions say that unlike OPS, employees covered under NPS have no idea about the monthly amount they will get as pension

ment sector and the envisaged Minimum Assured Return Scheme (MARS) to ensure social security post-retirement and a minimum replacement rate of pension against last pay drawn is not available to the government sector subscribers."

"The Centre did not pay adequate attention to the NPS, nor did it make it an attractive investment option with tax benefits to compensate for losses versus OPS," says a senior official at the Union finance ministry. Employee unions had always resisted the NPS format, describing it as a scheme to help the markets more than the employees.

CRITICS' CONCERN ON OPS

The states planning to revert to OPS, though, must give it serious thought as it could land them in a financial crisis. For one, pension burdens will rise constantly, and not just because of employee numbers but also due to salary hikes from Pay Commissions and DA and such. Rajasthan's debt to GDP is currently 39.8 per cent and costing it 14.9 per cent as interest. Critics of OPS say it will put states like Punjab and Rajasthan under fiscal stress, further straining their spending limits. Punjab's debt to GDP is 53.3 per cent, Jharkhand's is 33 per cent and Chhattisgarh's 26 per cent. The RBI's advice is to keep debt under 30 per cent. The 14th Finance Commission report said future liability will adversely affect spending on social welfare.

Critics compare it to states deferring the revision of power tariffs for fear of losing votes, and seeking the Centre's help when their finances are near collapse. As NITI Aayog vice-chairperson Suman Bery says, "The states do not have money and, ultimately, the Centre will have to bear the burden." Experts such as former RBI governor Raghuram Rajan and 15th Finance Commission chairman N.K. Singh have all panned the OPS move. Finance secretary T.V. Somanathan, in a post-budget interview, said, "It is one of those cases where you are appearing to save money today while creating huge problems for future governments."

And if these states are expecting a windfall from a refund of the accrued NPS corpus with the Centre—Rajasthan's Rs 28,000 crore in deposits has a valuation of Rs 39,000 crore (when the state withdrew in March 2022)—they are in for a long wait. Union finance minister Nirmala Sitharaman has flatly refused a refund, saying there is no provision for a refund to states in the Pension Fund Regulatory and Development Authority (PFRDA) Act, 2013, and that it can only be passed on to individual pensioners. Gehlot has now threatened to go to the Supreme Court to claim it for the state government.

Even refunds to individuals will not be easy as these are linked to the number of years of service. Even senior employees under NPS will be getting only 20 per cent cash with 80 per cent going to annuity. The Centre has also given a certain part of every state's corpus to be used as government securities for the state, settling which would be another cumbersome issue.

Two former Union finance secretaries who once headed Rajasthan's finances are highly critical of Gehlot's move. Rajiv Mehrishi, who retired as CAG, says NPS is a responsible way to not leave any debt for future generations by taking care of the liability now itself. "It is like working to save the environment for our future generations," he says while citing his own monthly pension of Rs 1.72 lakh, which he calls "untenable". Add that to the longevity: there are many now who will earn more in pension than they earned in salaries in their lifetime.

As for criticism on the lower returns in NPS, he says, "It is true that the markets can be unpredictable. But if current returns of eight per cent continue, then someone putting in 36 years of service and retiring at my post can expect al-